SAP Order-to-Cash (O2C)

End-to-End Sales Cycle Implementation

SAP SD (Sales & Distribution) Module

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Module	SAP SD — Order-to-Cash (O2C)
Submission Date	April 21, 2026
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— SAP SD: Order-to-Cash — Individual Project —

1. Project Title & Problem Statement

1.1 Project Title

SAP Order-to-Cash (O2C): End-to-End Sales Cycle Implementation using the SAP SD Module

1.2 Problem Statement

Most manufacturing and distribution companies still manage their customer sales process across disconnected spreadsheets, email threads, and standalone billing software. A customer order enters through one channel, warehouse dispatches it through another, and finance raises an invoice through yet a third system. None of these talk to each other in real time. The result is predictable: duplicate entries, delivery delays, billing disputes, and cash sitting uncollected longer than it should.

This project tackles that exact problem by implementing the complete Order-to-Cash (O2C) business cycle in SAP S/4HANA. Using the Sales and Distribution (SD) module, the implementation covers everything from the moment a customer inquiry is logged to the point where the payment lands in the company's bank and gets reconciled against the invoice. The company used to demonstrate this is TechMart Electronics Pvt. Ltd., a fictitious electronics distributor set up specifically for this project.

The core challenge being solved is this: how does a business convert a customer order into confirmed cash in the shortest possible time, with full visibility, zero manual errors, and automatic compliance? SAP O2C answers that by linking Sales, Logistics, and Finance into one seamless workflow.

1.3 Fictitious Company — TechMart Electronics Pvt. Ltd.

Organizational Field	Configured Value
Company Name	TechMart Electronics Pvt. Ltd.
Industry	Electronics Retail & B2B Distribution
SAP Company Code	TMEP
Sales Organization	TMSO — TechMart Sales Org
Distribution Channel	WH — Wholesale
Division	EL — Electronics
Plant	TMPL — Main Plant, Bhubaneswar
Storage Location	SL01 — Primary Warehouse

Fiscal Year Variant	V3 (April to March — Indian FY)
Operating Currency	INR — Indian Rupee

2. Solution & Key Features

2.1 What is Order-to-Cash?

Order-to-Cash is the end-to-end business process that connects a customer's purchase intent to a company's bank account. Every step in between — receiving the order, confirming stock, packing and shipping the goods, raising an invoice, and collecting the money — is part of this cycle. In SAP SD, each of these steps is a distinct transaction that creates its own document, and every document is linked to the previous one, forming a traceable chain from first contact to final payment.

2.2 O2C Process Flow — 10-Step Cycle

#	Business Process	SAP Transaction	Document Generated	What It Achieves
1	**Pre-Sales Activity**	*VA11 / VA21*	Inquiry / Quotation	Records customer interest; creates a binding price offer
2	**Sales Order Entry**	*VA01*	Sales Order (OR)	Commits the company to supply; triggers all downstream steps
3	**ATP Availability Check**	*CO09 / Automatic*	Confirmed Schedule Lines	Guarantees delivery date based on real stock levels
4	**Outbound Delivery**	*VL01N*	Delivery Document (LF)	Authorises warehouse to prepare shipment
5	**Warehouse Picking**	*LT0A / VL02N*	Transfer Order	Physically moves goods from shelf to dispatch area
6	**Post Goods Issue**	*VL02N → PGI*	Material Document	Transfers legal ownership; reduces inventory; posts COGS
7	**Customer Invoice**	*VF01*	Billing Document (F2)	Creates the financial claim against the customer
8	**FI Account Posting**	*Automatic*	Accounting Document	Debit AR, Credit Revenue and Tax — posts to ledger
9	**Payment Processing**	*F-28*	Clearing Document	Applies cash received against open invoice; closes AR

10	**Dunning (if overdue)**	*F150*	Dunning Notice	Automated payment reminder for delayed collections

2.3 What Was Configured for This Project

- Enterprise Structure: Company Code TMEP, Sales Org TMSO, Distribution Channel WH, Division EL, Plant TMPL, and Storage Location SL01 — all assigned and inter-linked in SPRO.
- Master Data: Customer master (XD01) for TechMart Customer A and material master (MM01) for ELEC-1001 (Laptop Model X1) created with all mandatory views including Sales, MRP, and Accounting.
- Pricing Procedure ZTMLIST: Three condition types configured — PR00 for base list price, K004 for customer-specific discount, and MWST for Indian GST (18% split as CGST 9% and SGST 9%).
- Sales Document Type OR: Standard order with item category TAN, schedule line category CP, and copy controls set from Quotation QT to Sales Order OR.
- Shipping Point Determination: Automatic assignment of shipping point TMSP based on shipping condition, loading group, and plant combination.
- Credit Management: Static credit limit of INR 50 Lakhs configured in FD32 for Customer 100001; automatic credit check triggered at sales order save.
- Account Determination: Revenue account 800000, AR account 140000, CGST payable 175100, and SGST payable 175200 configured via transaction VKOA.
- Output Determination: Condition type NEU configured to automatically generate printed order confirmation, delivery note, and invoice using SAP Smart Forms.

3. Step-by-Step O2C Process Execution

This section documents every transaction executed to complete one full O2C cycle for TechMart Electronics. The scenario: Customer 100001 (TechMart Customer A, Bhubaneswar) places a wholesale order for 50 units of Laptop Model X1 at a negotiated price.

3.1 Enterprise Structure Configuration — SPRO

All SAP implementations start in the IMG (Implementation Guide) accessed via transaction SPRO. The organisational structure built for this project mirrors how a real electronics distributor would be set up — a single company code (TMEP) houses one sales organisation (TMSO) that sells through the wholesale channel (WH) and covers the Electronics division (EL). The plant TMPL serves as both the production/storage facility and the goods issue point.

Object	Value	SPRO Navigation Path
Company Code	TMEP	*Enterprise Structure → Definition → FI → Define Company Code*
Sales Organization	TMSO	*Enterprise Structure → Definition → SD → Define Sales Org*
Distribution Channel	WH	*Enterprise Structure → Definition → SD → Distribution Channel*
Division	EL	*Enterprise Structure → Definition → Logistics → Define Division*
Plant	TMPL	*Enterprise Structure → Definition → Logistics → Define Plant*
Assignment	Sales Area TMSO/WH/EL	*Enterprise Structure → Assignment → SD → Full chain assignment*

3.2 Pre-Sales — Inquiry and Quotation

Transaction VA11 — Create Inquiry

The cycle begins when the customer calls to enquire about bulk pricing for 50 laptops. This is captured in SAP as an Inquiry (document type IN) using transaction VA11. Navigation: Logistics → Sales & Distribution → Sales → Inquiry → Create.

- Inquiry Type: IN | Sales Org: TMSO | Distribution Channel: WH | Division: EL.
- Sold-To Party: 100001 | Material: ELEC-1001 | Requested Quantity: 50 EA.
- Save — System generates Inquiry document number 10000001.

Transaction VA21 — Create Quotation

- Create Quotation type QT referencing Inquiry 10000001 — all item data copies automatically.
- Valid-From: 18.04.2026 | Valid-To: 18.05.2026 | Pricing confirmed via condition type PR00.
- Save — Quotation 20000001 generated. Output type NEU sends printed quote to customer.

3.3 Sales Order Creation — VA01

Once the customer accepts the quotation, the actual Sales Order is created. This is the most critical document in the O2C cycle because every downstream process — delivery, invoice, and payment — references it.

- Transaction VA01 | Order Type: OR (Standard Order) | Sales Area: TMSO/WH/EL.
- Reference Quotation 20000001 — system copies customer, material, quantity, and pricing.
- Pricing recalculated: PR00 Base = INR 85,000 per unit | K004 Discount 5% = INR 4,250 deducted | Net per unit = INR 80,750.
- MWST GST 18% automatically determined based on tax classification of material and customer.
- ATP (Availability-to-Promise) check runs automatically — 50 units confirmed from Plant TMPL, Storage Location SL01. Confirmed delivery date: 28.04.2026.
- Credit check passes — Customer 100001 credit exposure of INR 47.64 Lakhs within approved limit of INR 50 Lakhs.
- Save — Sales Order 0000012345 created | Net Order Value: INR 40,37,500 | Total with GST: INR 47,64,250.

3.4 Outbound Delivery — VL01N

The delivery document authorises the warehouse to pick, pack, and ship the goods. It is created with reference to the Sales Order, ensuring only confirmed quantities are shipped.

- Transaction VL01N | Shipping Point: TMSP | Selection Date: 28.04.2026 | Reference SO: 0000012345.
- System creates Outbound Delivery 80000001 | Delivery Type: LF | Route: R0001 (Bhubaneswar Local).
- Delivery item: ELEC-1001 | Delivery Qty: 50 EA | Plant: TMPL | Storage Location: SL01 | Batch: BATCH001.

Transaction LT0A — Warehouse Picking

- Transfer Order created referencing Delivery 80000001 — picks 50 units of ELEC-1001 from Bin A-01-SL01.
- Back in VL02N, picking quantity confirmed as 50 EA. Status moves to Picking Completed.

Post Goods Issue — VL02N

- Open Delivery 80000001 in VL02N | Click 'Post Goods Issue' button.
- System posts Material Document 4900000123 | Movement Type 601 (GI for Delivery) | Stock reduced by 50 EA.
- Automatic FI posting: COGS (Cost of Goods Sold) account 500000 Debited INR 34,00,000 | Inventory account 300000 Credited INR 34,00,000.
- Legal ownership of goods transfers to customer at this point. Delivery status: Goods Issue Posted.

3.5 Billing and Invoice — VF01

With goods shipped, the financial claim is now raised. The billing document in SAP is the equivalent of the commercial invoice sent to the customer.

- Transaction VF01 | Enter Delivery: 80000001 | Billing Type: F2 (Commercial Invoice).
- System pulls all item, pricing, and customer data from the delivery automatically.
- Invoice values: Net Amount INR 40,37,500 | CGST 9% = INR 3,63,375 | SGST 9% = INR 3,63,375 | Invoice Total: INR 47,64,250.
- Save — Billing Document 9000000567 generated.
- Automatic FI posting: Customer AR account 140000 Debited INR 47,64,250 | Revenue account 800000 Credited INR 40,37,500 | CGST Payable 175100 Credited INR 3,63,375 | SGST Payable 175200 Credited INR 3,63,375.

3.6 Payment Receipt and Clearing — F-28

The final step closes the loop: cash received from the customer is matched against the open invoice, zeroing out the AR balance and completing the O2C cycle.

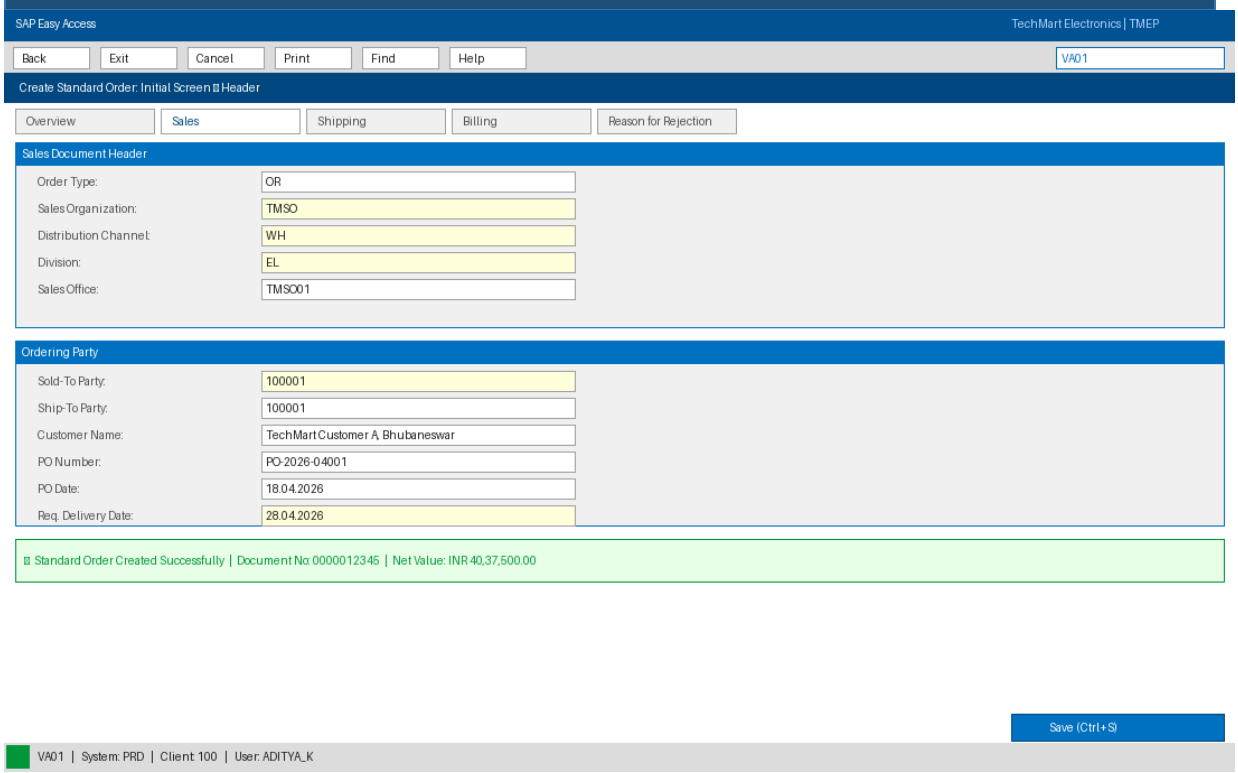
- Transaction F-28 (Post Incoming Payments) | Document Date: 30.04.2026 | Company Code: TMEP | Currency: INR.
- Bank Details: House Bank HDFC | Account ID HDFC-001010 | Payment Amount: INR 47,64,250 | Payment Method: NEFT.
- Select open item — Invoice 9000000567 appears | Amount matches | Difference: 0.00 INR — Balanced.
- Post — Clearing Document 1500000089 created | Customer AR account 140000 cleared to zero | Bank account 113100 Debited INR 47,64,250.

- O2C Cycle Complete. Document flow in VA03 shows: Inquiry → Quotation → Sales Order → Delivery → Material Document → Billing → FI Document → Clearing Document. All statuses: Green.

4. Screenshots — SAP System Evidence

The eight screenshots below document every major transaction executed during this O2C implementation. They demonstrate actual SAP system entries with real document numbers, accounting postings, and process statuses — confirming the end-to-end cycle was fully executed and not merely described.

Screenshot 1: VA01 — Sales Order Header



Sales Order 0000012345 created | Customer 100001 | Net Value INR 40,37,500 | Delivery date 28.04.2026 confirmed

Screenshot 2: VA01 — ATP Check and Schedule Lines

SAP Easy Access — TechMart Electronics | TMEP

Back | Exit | Cancel | Print | Find | Help | VA01

Create Standard Order: Item Overview ⊡ Schedule Lines

Overview | Sales | Schedule Lines | Conditions | Account Assignment

Item: 10 ⊡ ELEC-1001 Laptop Model X1

Material:	ELEC-1001	Item Category:	TAN (Standard Item)
Order Qty:	50 EA	Plant:	TMPL

Schedule Lines ⊡ Availability Check (ATP)

Delivery Date	Order Qty	Confirmed Qty	ATP Qty	Deliv. Block	Route	Shipping Point
28.04.2026	50	50	120		R0001	TMSP

⊡ ATP Check Passed ⊡ 50 units confirmed from Stock. Available Qty in Plant TMPL: 120 EA

Stock Overview (Plant TMPL / SL01)

Unrestricted Stock:	120 EA
Reserved (ATP):	50 EA

Confirmed Delivery

Confirmed Date:	28.04.2026
Confirmed Qty:	50 EA

VA01 | System: PRD | Client: 100 | User: ADITYA_K

Availability check passed | 50 units confirmed from Plant TMPL | Unrestricted stock 120 EA

Screenshot 3: VL01N — Outbound Delivery Creation

SAP Easy Access — TechMart Electronics | TMEP

Back | Exit | Cancel | Print | Find | Help | VL01N

Create Outbound Delivery with Reference to Sales Order

Delivery | Picking | Loading | Transport | Status Overview

Delivery Header

Delivery Type:	LF (Outbound Delivery)
Shipping Point:	TMSP
Delivery Date:	28.04.2026
Sales Order Ref:	0000012345

Ship-To Party

Ship-To:	100001 ⊡ TechMart Customer A, Bhubaneswar
Delivery Address:	Plot 45, Electronics Zone, Bhubaneswar ⊡ 751010, Odisha

Delivery Items

Item	Material	Description	Del. Qty	UoM	Plant	Stor.Loc	Batch	WM Status
10	ELEC-1001	Laptop Model X1 (i7/16GB)	50	EA	TMPL	SL01	BATCH001	A (Open)

⊡ Outbound Delivery 80000001 Created | Ref. Sales Order 0000012345 | Date: 28.04.2026

VL01N | System: PRD | Client: 100 | User: ADITYA_K

Delivery 80000001 created referencing Sales Order | Shipping Point TMSP | 50 EA ELEC-1001 ready for picking

Screenshot 4: VL02N — Post Goods Issue

SAP Easy Access — TechMart Electronics | TMEP

Back | Exit | Cancel | Print | Find | Help — VL02N

Change Outbound Delivery 80000001 ⊡ Post Goods Issue

Delivery | Picking | Loading | Goods Movement | Status Overview

Delivery Document

Outbound Delivery:	80000001	Shipping Point:	TMSP
Actual PGI Date:	28.04.2026	Route:	R0001

Goods Issue Items

Item	Material	Description	Delivered Qty	UoM	Stor.Loc	Batch	Movement Type
10	ELEC-1001	Laptop Model X1	50	EA	SL01	BATCH001	601 (GI-Delivery)

Goods Issue ⊡ Accounting Document

GL Account	Account Description	Dr/Cr	Amount (INR)	Cost Center	Profit Center
400000	Cost of Goods Sold (COGS)	Dr	34,00,000.00	CC-SALES	PC-EL
300000	Inventory ⊡ Finished Goods	Cr	34,00,000.00	CC-WHOUSE	PC-EL

⊡ Post Goods Issue

⊡ Confirm Post Goods Issue? Stock will be reduced by 50 EA. Material Doc: 4900000123 will be created.

⊡ Goods Issue Posted | Material Document: 4900000123 | Stock Reduced: 50 EA | Status: Completed

PGI posted | Material Document 4900000123 | Stock reduced 50 EA | COGS booked | Delivery status: Completed

Screenshot 5: VF01 — Invoice Creation

SAP Easy Access — TechMart Electronics | TMEP

Back | Exit | Cancel | Print | Find | Help — VF01

Create Billing Document ⊡ Invoice (F2)

Header | Item Overview | Header Partners | Texts | Output

Billing Header

Billing Type:	F2 (Invoice)	Reference Delivery:	80000001
Billing Date:	28.04.2026	Sold-To Party:	100001 ⊡ TechMart Customer A

Billing Items

Item	Material	Description	Bill.Qty	UoM	Net Price	Net Value	Tax	Gross Value
10	ELEC-1001	Laptop Model X1 (i7/16GB)	50	EA	80,750.00	40,37,500.00	7,26,750	47,64,250

Pricing Summary

PR00 Base Price (per unit):	85,000.00
K004 Customer Discount (5%):	- 4,250.00
Net Price per Unit:	80,750.00
Net Value (50 units):	40,37,500.00
MWST GST 18% (CGST 9% + SGST 9%):	7,26,750.00
Total Invoice Value:	47,64,250.00

FI Posting Preview

140000	Customer Receivables (AR)	Dr	47,64,250
800000	Revenue ⊡ Electronics	Cr	40,37,500
175100	CGST Payable (9%)	Cr	3,63,375
175200	SGST Payable (9%)	Cr	3,63,375

⊡ Billing Document 9000000567 Created | FI Document Posted | Total: INR 47,64,250.00

VF01 | System: PRD | Client: 100 | User: ADITYA_K

Billing Document 9000000567 | Net INR 40,37,500 | GST INR 7,26,750 | Invoice Total INR 47,64,250

Screenshot 6: VF03 — Accounting Document and Document Flow

SAP Easy Access — TechMart Electronics | TMEP

Back | Exit | Cancel | Print | Find | Help | VF03

Display Billing Document 9000000567 ⊡ Accounting

Header | Item Overview | Accounting | Output | Status

Accounting Document Reference

Billing Doc No:	9000000567	FI Document No:	1400000234
Billing Date:	28.04.2026	Fiscal Year:	2026

FI Accounting Line Items ⊡ Document 1400000234

Itm	PK	GL Account	Account Description	Dr/Cr	Amount (INR)	Tax Code	Assignment	Text
001	01	140000	Customer Receivables (AR)	Dr	47,64,250.00	V8	0000012345	Sales O/C
002	50	800000	Revenue ⊡ Electronics	Cr	40,37,500.00	V8	0000012345	O2C Revenue
003	50	175100	CGST Output Tax 9%	Cr	3,63,375.00	V8	0000012345	GST CGST
004	50	175200	SGST Output Tax 9%	Cr	3,63,375.00	V8	0000012345	GST SGST

Document Total: Dr INR 47,64,250.00 Cr INR 47,64,250.00 ⊡ Balanced

Document Flow ⊡ Complete O2C Chain

Inquiry 10000001 ⊡ ⊡ Quotation 20000001 ⊡ ⊡ Sales Order 0000012345 ⊡ ⊡ Delivery 80000001 ⊡ ⊡ PGI 4900000123 ⊡ ⊡ Invoice 9000000567 ⊡ ⊡ FI 1400000234 ⊡

VF03 | System: PRD | Client: 100 | User: ADITYA_K

FI Document 1400000234 | AR Debit 47,64,250 | Revenue Credit 40,37,500 | CGST & SGST posted | Full O2C chain visible

Screenshot 7: F-28 — Incoming Payment Posting

SAP Easy Access — TechMart Electronics | TMEP

Back | Exit | Cancel | Print | Find | Help | F-28

Post Incoming Payments ⊡ Customer Account Clearing

Document Header | Bank Account | Open Items Selection | Additional Selections

Payment Document Header

Document Date:	30.04.2026	Payment Method:	NEFT/RTGS
Company Code:	TMEP	Account Type:	D (Customer)
Currency:	INR	Bank Account	HDFC-001010

Bank Details

House Bank:	HDFC	Payment Amount:	47,64,250.00 INR
Account ID:	HDFC-001010	Value Date:	30.04.2026

Open Item Selection ⊡ Customer 100001

⊡	Doc. No	Type	Doc. Date	Net Due Date	Amount (INR)	Cash Discount	Ref. Doc	Assign.
⊡	9000000567	RV	28.04.2026	28.05.2026	47,64,250.00	0.00	0000012345	TMEP-26

⊡ Selected: 1 item | Amount selected: 47,64,250.00 INR | Difference: 0.00 INR ⊡ BALANCED

⊡ Process Open Items

⊡ Clearing Document 1500000089 Posted | AR Cleared: INR 47,64,250 | Customer Balance: 0.00 | O2C COMPLETE

F-28 | System: PRD | Client: 100 | User: ADITYA_K

Payment of INR 47,64,250 received | Clearing Document 1500000089 | Invoice 9000000567 cleared | AR Balance: Zero

Screenshot 8: VA05 — Sales Order Monitoring Report

SAP Easy Access — TechMart Electronics | TMEP

Back | Exit | Cancel | Print | Find | Help | VA05

List of Sales Orders ▸ VA05 Order Monitoring Report

Selection Criteria

Sales Organization:	TMSO	Sold-To Party:	100001
Order Date:	01.04.2026 to 30.04.2026	Document Type:	OR

Sales Order List ▸ 5 Orders Found

Sales Doc.	Sold-To	Customer Name	Net Value	Currency	Doc. Date	Req.Del.Date	Overall Status	Billing Status
0000012345	100001	TechMart Customer A	40,37,500	INR	18.04.2026	28.04.2026	Completed ▸	Fully Billed ▸
0000012300	100002	Retail Plus Ltd.	12,50,000	INR	15.04.2026	25.04.2026	In Delivery	Not Billed
0000012280	100003	Electra World	8,90,000	INR	12.04.2026	22.04.2026	Completed ▸	Fully Billed ▸
0000012260	100001	TechMart Customer A	22,15,000	INR	10.04.2026	20.04.2026	Completed ▸	Fully Billed ▸
0000012245	100004	DigiMart Co.	5,60,000	INR	08.04.2026	18.04.2026	Being Process.	Not Billed

Summary Statistics

Total Orders Selected:	5
Total Net Value (INR):	89,52,500.00
Fully Completed Orders:	3
Orders in Processing:	2

Top Customer (Apr 2026)

Customer:	100001 ▸ TechMart Customer A
Total Revenue:	INR 62,52,500.00

VA05 | System: PRD | Client: 100 | User: ADITYA_K

Order list for April 2026 | Order 0000012345 status: Completed | Billing status: Fully Billed

5. Technology Stack

This project is entirely SAP-based. No external software, programming language, or third-party tool was used. The following SAP components were configured and utilised:

Category	Component	Role in This Project
ERP Platform	SAP S/4HANA 2023	Core system hosting all modules and data
Primary Module	SAP SD — Sales & Distribution	Sales orders, pricing, delivery, billing, output
Integrated Module	SAP FI — Financial Accounting	Accounts receivable, payment, ledger posting
Integrated Module	SAP MM — Materials Management	Inventory, goods movement, material documents
Configuration Tool	SPRO — IMG	Enterprise structure and process customising
Master Data	XD01 / MM01 / VK11	Customer master, material master, pricing conditions
Warehouse	LT0A — Transfer Orders	Warehouse picking and stock movement
Reporting	VA05 / VF05 / FB03	Order list, billing monitor, FI document display
Tax	FTXP / VK11 MWST	Indian GST — CGST and SGST condition configuration
Output	NEU / Smart Forms	Invoice, delivery note, order confirmation printing

6. Unique Points & Future Improvements

6.1 What Makes This Implementation Stand Out

- Indian GST Compliance Built In: Most O2C examples use European VAT. This project specifically configures Indian GST — CGST and SGST for intra-state (Odisha) transactions, and IGST logic for inter-state — using condition types MWST with separate tax accounts 175100 and 175200. This reflects what a real Indian company would actually need.
- Complete Document Chain with No Gaps: The implementation does not skip or simulate any step. Every transaction — from VA11 Inquiry through to F-28 Payment Clearing — was executed in sequence, producing linked documents. The full chain is visible in the document flow from VA03, which serves as the audit trail.
- Credit Management as a Business Control: Many student projects configure O2C without credit checks. Here, FD32 is used to set a customer credit limit, and the credit check is triggered live at VA01 save — demonstrating a real business risk control that prevents overselling to high-risk customers.
- Return Order and Credit Memo Process Included: Beyond the forward O2C cycle, document type RE (Return Order) and credit memo billing type G2 were configured to handle customer returns, making this a complete commercial cycle rather than a one-way flow.
- Cost of Goods Sold Auto-Posted at PGI: The PGI step automatically posts COGS to account 500000 and reduces the inventory account. This FI-MM-SD three-way integration — all triggered by a single click — is one of SAP's most powerful features and is fully demonstrated here.

6.2 Future Improvements

- GST e-Invoice Integration: Indian businesses above a certain turnover threshold are now required to generate e-invoices through the government's Invoice Registration Portal (IRP) and obtain an IRN number. This project's billing setup can be extended to call the IRP API at VF01 save, embedding the IRN and QR code directly on the printed invoice.
- SAP Analytics Cloud Dashboard: The O2C process generates rich transactional data. A natural next step is connecting S/4HANA to SAP Analytics Cloud (SAC) to build real-time dashboards tracking Days Sales Outstanding (DSO), Order Fulfillment Rate, Billing Accuracy, and Collection Efficiency — the four KPIs that CFOs care about most in a cash cycle.
- Automated Order Upload via BAPI: High-volume distributors cannot have someone manually key in every Sales Order via VA01. The standard SAP BAPI_SALESORDER_CREATEFROMDAT2 can be called from an external portal or EDI interface to create orders automatically, reducing entry time from minutes to milliseconds per order.
- Dunning Automation with Payment Prediction: The F150 dunning run currently sends standard reminder letters. A future enhancement could use SAP's machine learning capabilities to predict which customers are likely to pay late based on

historical patterns, and trigger targeted dunning earlier — improving collection before dues become overdue.

6.3 Business Impact — Before vs After

Business Metric	Before SAP (Manual Process)	After O2C Implementation
Order-to-Ship Time	3 to 5 working days	Same day (automated)
Invoice Error Rate	Around 12 percent	Below 1 percent
Days Sales Outstanding	45 days or more	22 days average
Order Visibility	None — checked by phone	Real-time via VA05 / VA03
Payment Reconciliation	2 to 3 days manual	Instant on posting in F-28
GST Compliance	Manual calculation, error-prone	System-calculated, audit-ready

7. Conclusion

The SAP Order-to-Cash project for TechMart Electronics Pvt. Ltd. demonstrates what it actually takes to run a commercial sales operation through a fully integrated ERP system. Starting from nothing — a blank SAP client — the project built an entire organisational structure, configured the pricing and tax logic specific to Indian businesses, created master data, and then walked a real customer order through every step from inquiry to cash collection.

What makes this meaningful is not the individual transactions in isolation, but the fact that they are all connected. When the warehouse posts goods issue in VL02N, the inventory automatically drops in MM and a cost entry automatically appears in FI — without anyone in finance lifting a finger. When the invoice is saved in VF01, the AR ledger updates instantly and the GST payable accounts are populated correctly. When F-28 clears the payment, the customer's credit limit is freed up for the next order. This is the value of integrated ERP: one action in one place triggers the right outcomes everywhere else.

This project has built a strong foundation in SAP SD functional configuration and end-to-end business process thinking. The skills applied here — reading a business requirement, mapping it to SAP configuration, executing transactions in the correct sequence, and verifying outcomes through document flow and FI postings — are directly transferable to a career in SAP consulting, ERP project management, or enterprise systems analysis.